IC Memo
Embecta

Recommendation & Investment Thesis

Recommendation: PASS

Embecta is an operationally challenged B1 credit where Q2 FY26 results materially reset the earnings trajectory. The business is not impaired and continues to generate positive free cash flow, but management's first formal acknowledgment of secular pressure has proven understated, and current market levels price the credit close to the realistic distress recovery case rather than offering asymmetric upside. The PASS reflects the view that despite material equity drawdown and meaningful spread widening since April, the credit lacks the margin of safety or catalyst to support a constructive entry here.

Three risks are now actively pricing in the credit. First, the category is in secular decline that is compressing faster than originally modeled. Pen needle units in developed markets have contracted for four consecutive years, offset only by mix and geography, both of which have natural ceilings. GLP-1 adoption is a mixed dynamic for the franchise, delaying insulin initiation in Type 2 patients while generating pen tip demand at lower margin and lower volume per patient than insulin consumables. Management's May 5 guidance reset implied FY26 operating EBITDA materially below LTM, and adjusting for one-time roll-offs such as the Italian payback, impairment, acquisition costs, and the patch pump wind-down together with partial-year Owen Mumford contribution, the credit-relevant central case still reflects a meaningful step-down from LTM with 2H'26 implied margins worse than Q2 actual. Second, the March 2026 Owen Mumford acquisition ($134M upfront, up to $200M total with Aidaptus sales earnout, RCF-financed, closing FY26 Q3) is proceeding into the deterioration. The committed revolver draw triggers the springing 4.75x net 1L maintenance covenant and leaves compressed but not breached headroom on the central case. The acquisition timing signals either limited management situational awareness or contractual inflexibility, neither of which is constructive. Third, customer concentration with McKesson, Cardinal, and Cencora at 42% of revenue structurally compounds the first two risks, as declining volumes shift pricing power toward distributors.

The TLB and senior notes have widened materially since the original April 16 underwriting, and spreads now reflect real credit stress rather than rating-adjusted inadequacy. The market is pricing the secured stack roughly in line with the drawn-revolver recovery case at the central FY26E EBITDA scenario, with limited margin of safety. Re-underwrite to BUY on a clean recovery-based entry at note prices meaningfully below current levels, or on clear stabilization evidence such as Owen Mumford being withdrawn or restructured, cost actions being announced, or the FY26 Q3 print confirming the new run-rate as the trough rather than a waystation.

Summary Deal Information

Company	Embecta Corp.	Corporate Rating/Outlook	B+/B1(Stable)
HQ Location	Franklin Lakes, NJ	Facilities Ratings (recovery)	B+/B1(Stable)
Industry	Healthcare	Yield to Maturity	13.23%
Sponsor	Public	LTM Period	
Purpose	Spin Off	Net Sales (mm)	$1,042.50
Lead Agent	Morgan Stanley	LTM Adj. EBITDA (mm)	$ 382.60
Spread + Floor	S+ 300bps	LTM Adj. EBITDA Margin	36.7%
OID / Price	97.25	1st Lien Leverage	3.0x
Maturity	3/31/2029	EBIT/Interest	3.1x
Primary/Secondary Market	Secondary	PF Adj. EBITDA-Capex/Int.Coverage	3.8x

Sources and Uses ($mm)

Revolving Credit Facility	-	Paydown Revolving Credit Facility	-
First Lien Term Loan B	1,150.0	Cash Distribution to BD	1,440.0
Other Secured Debt	500.0	Cash to Balance Sheet	160.0
		Fees, Expenses, OID	50.0
Total Sources	**$ 1,650**	**Total Uses**	**$ 1,650**

PF Capital Structure ($mm)	Amount	LTM	Proj	LTV	Price	Spread	Interest	Maturity	YTW	Ratings
Revolver ($500 mm)	-				100.00%	S+ 300bps	-	3/31/2027	6.59%	B+/B1
First Lien Term Loan B	641.8				84.45%	S+ 300bps	42.4	3/31/2029	13.23%	B+/B1
5.0 First Lien Secured Notes due February 2030	500.0				78.75%	-	25.0	2/15/2030	12.19%	B+/B1
6.75 First Lien Secured Notes due February 2030	200.0				80.25%	-	13.5	2/15/2030	13.61%	B+/B1
Total Secured Debt	**1,341.8**	**3.5x Net 3.0x**	**4.5x**	**97%**			**80.9**			
Less: Debt issuance Costs/Discounts	(15.4)									
Plus: Capitalized Leases (Long Term + Short Term)	31.3									
Total Debt	**1,357.7**			**98%**						
Less: Cash	(184.9)									
Net Debt	**1,172.8**	**3.1x**	**3.9x**	**84%**			**80.9**			
Equity Value	216.0									
Enterprise Value	**1,388.8**	**3.6x**	**4.6x**							
PF Adj. EBITDA		382.6	300.0							
Capex		(8.8)	(8.8)							
Cash Interest		(99.4)	(100.0)							
Taxes		(57.7)	(45.2)							
Changes in NWC		0.2	0.2							
Other CFO		(12.2)	(12.2)							
FCF		**204.7**	**134.0**							

	LTM		Projected	
	Secured	Total	Secured	Total
LTV	97%	98%	97%	98%
EBITDA/Interest	3.8x	3.8x	3.7x	3.7x
(EBITDA-Capex)/Interest	3.8x	3.8x	2.9x	2.9x
FCF(debt)	15.3%	15.1%	10.0%	9.9%

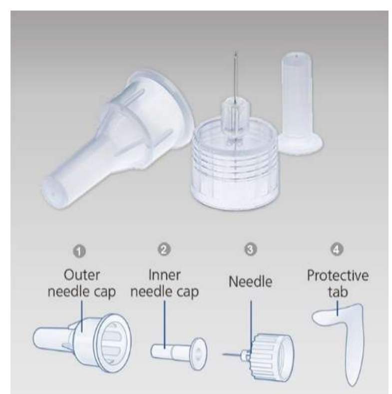
Summary Financials

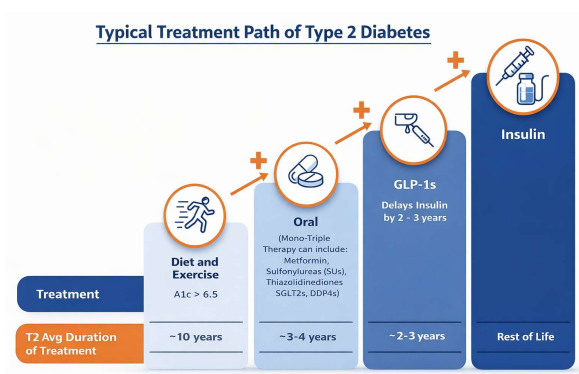
	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,042.5	1,025.0
% Growth	-	*(3.1%)*	*(0.8%)*	*0.2%*	*(3.8%)*	*(3.5%)*	*(1.7%)*
Adj. EBITDA	565.5	459.9	378.3	353.1	415.1	382.6	300.0
Acq. Adjustments	-	-	-	-	-	-	-
PF Adj. EBITDA	565.5	459.9	378.3	353.1	415.1	382.6	300.0
Capex	(36.8)	(23.6)	(26.5)	(15.8)	(9.3)	(8.8)	(8.8)
Cash Interest	-	(46.2)	(107.0)	(112.3)	(107.3)	(99.4)	(100.0)
Taxes	(80.1)	(33.0)	(35.3)	34.1	(40.9)	(57.7)	(45.2)
Change in NWC	(30.5)	91.9	(80.0)	(47.7)	(23.7)	0.2	0.2
Other CFO	1.4	(60.4)	(88.3)	(191.5)	(51.5)	(12.2)	(12.2)
FCF	419.5	388.6	41.2	19.9	182.4	204.7	134.0
Acquisitions, Net	(2.4)	(0.4)	-	-	-	10.1	-
Sale of Assets	-	-	-	-	-	-	-
Change in Debt	-	1,406.3	(9.5)	(34.6)	(184.6)	(199.8)	-
Equity Transactions, Net	(417.1)	(1,452.5)	(34.4)	(34.5)	(35.0)	(29.9)	(33.5)
Stock Buyback	-	-	-	-	-	-	-
Other CFF	-	(1.8)	(4.8)	(4.3)	(7.1)	(7.6)	(5.1)
Change in Cash	-	340.2	(7.5)	(53.5)	(44.3)	(22.5)	95.4
FCF Yield	30.2%	28.0%	3.0%	1.4%	13.1%	14.7%	9.6%
Total Debt	-	1,643.8	1,638.5	1,608.4	1,430.3	1,357.7	1,357.7
Cash	-	330.9	326.5	267.5	225.5	184.9	184.9
Net Debt	-	1,312.9	1,312.0	1,340.9	1,204.8	1,172.8	1,172.8
Net Debt / EBITDA	-	2.9x	3.5x	3.8x	2.9x	3.1x	3.9x
Total Debt / EBITDA	-	3.6x	4.3x	4.6x	3.4x	3.5x	4.5x
EBITDA - Capex / Interest	-	9.4x	3.3x	3.0x	3.8x	3.8x	2.9x

Business Overview

Embecta Corp. is a medical device company focused on diabetes care products used for insulin delivery and was spun off from Becton, Dickinson and Company ("BD") in April 2022 as an independent publicly traded entity. The company generates the majority of revenue from disposable insulin injection products, including pen needles (~75–80% of revenue), insulin syringes (~15–20%), and safety injection devices and other ancillary products (~5–10%). In 2024, management discontinued development of its insulin patch pump program following a strategic review, redirecting capital toward debt reduction and stabilization of the core franchise. Embecta manufactures approximately 8–9 billion units annually across a global manufacturing footprint and maintains ongoing supply agreements with BD for certain critical components, including cannulas. The company benefits from leading market positions in insulin injection devices, with market share exceeding 50% in several core geographies, supported by manufacturing scale and established distribution relationships. Products are primarily sold through pharmaceutical wholesalers and retail pharmacy channels under contractual pricing arrangements, with reimbursement determined through payor coverage frameworks in developed markets and predominantly cash-pay dynamics in emerging markets. Customer concentration reflects the industry's distribution structure, with McKesson, Cardinal Health, and Cencora collectively representing approximately 42% of revenue. Revenue is geographically diversified, with roughly 50–55% generated in the United States and the balance internationally. Demand for Embecta's products is largely non-discretionary and tied to insulin dependency rather than procedure volumes, supporting relatively stable unit demand and cash flow visibility, although the business remains exposed to pricing pressure, reimbursement dynamics, and supplier reliance stemming from the BD separation. In March 2026, Embecta announced a pending ~$190M (£150M) acquisition of UK-based Owen Mumford anchored by the Aidaptus auto-injector platform, extending the franchise into adjacent drug-delivery markets beyond insulin consumables. The deal is expected to close in FY26 Q3 and marks a capital allocation pivot from pure deleveraging toward M&A, with the committed revolver draw occurring against a materially weaker FY26 earnings backdrop than at announcement.

	Pen Needles	Safety Pen Needles and Safety Insulin Syringes	Insulin Syringes
Position	#1 globally	#1 globally	#1 globally
Global Product Share[1]	~50%	~60%	~40%
Key Channel / Geographies	Retail pharmacy and hospital USA, China, Germany	Hospital and long-term care USA, Canada, France	Retail pharmacy USA, Mexico, India
Product	Nano™ 2nd Gen, Ultra-Fine™	AutoShield Duo™, Safety Insulin syringes	Ultra-Fine™
Manufacturing site	Dún Laoghaire (Ireland) Suzhou (China)	Dún Laoghaire (Ireland) Holdrege, NE (USA)	Holdrege, NE (USA)





Investment Risks and Strengths

Investment Strengths

- Scaled consumables franchise serving insulin-dependent patients with recurring reimbursed demand
- Leading global pen needle platform (~50% share) supported by manufacturing scale and wholesaler relationships
- Repeatable FCF generation (~$200M LTM) with low capital intensity
- Adequate liquidity (~$685M total) with revolver undrawn at valuation date
- No material maturities until 2029, providing multi-year runway ahead of refinancing window
- Covenant test springing on revolver only and not in effect while revolver undrawn
- Recovery in undrawn scenario remains constructive with 1L money-good in majority of moderate stress cases
- Low near-term default probability given cash cushion, FCF generation, and clear maturity profile

Investment Risks

- Developed-market pen needle volumes in multi-year decline with Q2 results indicating compression accelerating beyond original underwriting
- Multi-year GLP-1 headwind delaying Type 2 insulin initiation across 5–10+ year horizon, with pen tip participation insufficient to offset core margin compression
- Revised guidance implies FY26 EBITDA materially below LTM, 2H'26 implied margins worse than Q2 actual, and deleveraging trajectory inverted
- Owen Mumford close activates springing 4.75x net 1L covenant, with FY26E headroom materially tighter and moderate bear case approaching threshold
- 1L faces meaningful impairment at typical 5.0x multiple in central FY26E EBITDA scenario once revolver drawn
- Drawn-revolver scenario eliminates the principal-safe floor implied by the undrawn case
- Owen Mumford proceeding into deterioration signals limited situational awareness or contractual inflexibility ahead of the 2029 refinancing
- McKesson, Cardinal, and Cencora represent ~42% of revenue, with declining volumes shifting pricing leverage to distributors
- Ongoing reliance on BD for cannulas and critical components post-spin
- Diversified medtech and pharma participants with vertical integration and stronger balance sheets
- TLB and notes have widened materially, with spreads now reflecting credit stress rather than rating-adjusted inadequacy
- 2029 TLB and 2030 notes refinancing will occur in materially deteriorated environment relative to original underwriting
- 6.75% notes ($200M outstanding) constrain fund-level allocation to best relative-value instrument
- Return profile is recovery-driven rather than carry-driven at current prices, with limited multiple expansion absent stabilization

Term Sheet Summary

Credit Facility

Borrower:	Embecta Corp.
Credit Facility:	$500M RCF, $950M 1L TL, $500M 1L Secured Notes, $200M 1L Secured Notes
Guarantors:	The borrowers + all of Embecta's material wholly-owned domestic restricted subsidiaries
Issue Date:	3/31/2022
Maturity Date:	3/31/2029
Applicable Margin:	300
CSA:	-
Financial Covenants:	Max 4.75x Net First Lien Leverage Ratio for revolver (maintenance Covenant)
Floor:	0.50%
Term Loan Amortization:	1% per annum
Call Protection:	101 soft call for six month (expired 9/30/2022)

Industry Comps ($mm)	Ticker	Price	YTD Price	Market Cap	Total Debt	Cash & Equivalents	Minority Interest	Enterprise Value	Revenue LTM	EBITDA LTM	EBITDA Margin	Net Debt /EBITDA	TEV/ EBITDA
Novo Nordisk A/S	NVO*	$ 46.07	(12.1%)	158,450	20,595	4,240	-	174,805	46,786	24,189	51.7%	0.7x	7.2x
Terumo Corp	TRUMY	$ 12.56	(13.7%)	18,620	2,552	1,519	-	19,653	7,321	1,740	23.8%	0.6x	11.3x
								Median			**23.8%**	**0.6x**	**11.3x**
Embecta	EMBC	$ 3.64	(68.8%)	216	1,358	185	-	1,389	1,043	383	36.7%	3.1x	3.6x

** Novo Nordisk ($130B+ mkt cap, integrated diabetes franchise) included for reference but not comparable to $~577M Embecta levered spinco. Median excludes NVO.*

Debt Comps ($mm)	Borrower	Facility Ratings	Maturity	Spread	Amount O/S	Market Price	Yield	EBITDA	Total Debt	Cash	Gross Leverage	Total Leverage
Organon	Organon & Co	Ba2/BB	5/17/2031	S+ 225bps	1,543	100.23%	5.84%	1,757	8,569	1,116	4.9x	4.2x
Elanco	Elanco Animal Health	Ba1/BB+	10/31/2032	S+ 175bps	1,100	100.58%	5.32%	991	3,991	428	4.0x	3.6x
Select Medical	Select Medical Holdings	B1	12/3/2031	S+ 200bps	1,050	100.38%	5.58%	465	1,880	26	4.0x	4.0x
Average						**100.39%**	**5.58%**				**4.3x**	**3.9x**
Median						**100.38%**	**5.58%**				**4.0x**	**4.0x**
Embecta	Embecta Co	B+/B1	3/31/2029	S+ 300bps	642	84.45%	7.82%	382.6	1,358	185	3.5x	3.1x

Capital Structure

($ in millions)	Spread	Interest Rate	Maturity Date	Book Mar-26	Book Leverage	Book Gross Lev	Book FCF Yield	Book LTV	Interest Expense	Market Price	Callable	Call Price	Yield-to-Worst	Current Yield	Market Value	Market Leverage	Market FCF Yield	Market LTV	S&P/Moodys Credit
Revolver ($500mm)	S+ 300bps	6.60%	3/31/27	-					-	100.00%	-	-	6.59%	6.60%	-				B+/B1
First Lien Term Loan B	S+ 300bps	6.60%	3/31/29	641.8					42.4	84.45%	-	-	13.23%	7.82%	542.0				B+/B1
5.0 First Lien Secured Notes due February 2030		5.00%	2/15/30	500.0					25.0	78.75%	2/16/27	101.25%	12.19%	6.35%	393.8				B+/B1
6.75 First Lien Secured Notes due February 2030		6.75%	2/15/30	200.0					13.5	80.25%	2/16/27	101.69%	13.61%	8.41%	160.5				B+/B1
Total Secured Debt				**1,341.8**	**3.0x**	**3.5x**	**17.7%**	**83.3%**	**80.9**						**1,096.3**	**2.4x**	**22.5%**	**65.6%**	
Less: Debt issuance Costs/Discounts				(15.4)															
Plus: Capitalized Leases (Long Term + Short Term)				31.3															
Total Debt				**1,357.7**	**3.1x**	**3.5x**	**17.5%**	**83.3%**	**80.9**										
Plus: Equity Value				216.0															
Less: Cash and Cash Equivalents				(184.9)															
Total Enterprise Value				**1,388.8**	**3.3x**	**3.6x**	**14.7%**												
2026E Gross Leverage (Mgmt. Guide)						**4.5x**													
LTM → 2026E Leverage Delta						**1.0x**													

Assumptions

Value Date	5/8/2026
SOFR	3.60%
SOFR Floor	0.50%
CSA	0.00%
Stock Price	$ 3.64
Revolver Size	500.0
Incremental Term Loan	0.0
ABL Borrowing Base	500.0
LC's Outstanding	0.0

Shares Outstanding

Common Stock	59.3277
Other Class Stock	0.0000
Warrants	0.0000
TSM Shares Outstanding	0.0000
Fully Diluted Shares	59.327677
Date of Share Count	3/31/2026

2026 Guidance

Revenue (Low)	$ 1,015.0
Revenue (High)	$ 1,035.0
Adj. Operating Margin (Low)	22.25%
Adj. Operating Margin (High)	23.25%
Most Recent Quarter	3/31/2026
Last Updated	5/8/2026

Financial Summary

	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,042.5	1,025.0
Acquisitions	-	-	-	-	-	-	-
PF Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,042.5	1,025.0
EBITDA	565.5	459.9	378.3	353.1	415.1	382.6	300.0
Acquisitions	-	-	-	-	-	-	-
PF EBITDA	565.5	459.9	378.3	353.1	415.1	382.6	300.0
Capex	(36.8)	(23.6)	(26.5)	(15.8)	(9.3)	(8.8)	(8.8)
1st Lien Int.	-	(46.2)	(107.0)	(112.3)	(107.3)	(99.4)	(100.0)
2nd Lien Int	-	-	-	-	-	-	-
Senior Int	-	-	-	-	-	-	-
Taxes	(80.1)	(33.0)	(35.3)	34.1	(40.9)	(57.7)	(45.2)
Change in NWC	(30.5)	91.9	(80.0)	(47.7)	(23.7)	0.2	0.2
Other CFO	1.4	(60.4)	(88.3)	(191.5)	(51.5)	(12.2)	(12.2)
FCF	419.5	388.6	41.2	19.9	182.4	204.7	134.0
FCF Yield	*30.2%*	*28.0%*	*3.0%*	*1.4%*	*13.1%*	*14.7%*	*9.6%*
EBITDA Margin	*48.5%*	*40.7%*	*33.8%*	*31.4%*	*38.4%*	*36.7%*	*29.3%*
% of debt	*31.3%*	*29.0%*	*3.1%*	*1.5%*	*13.6%*	*15.3%*	*10.0%*

Quarterly Summary

	Q1'26	Q2'26
Revenue	261.2	221.8
Adj. EBITDA	97.2	64.6
Margin	*37.2%*	*29.1%*
Capex	(0.6)	(0.5)
Adj. FCF	22.1	44.1
Actual FCF	16.6	30.6
Uses of Cash		
Acq./Div.	10.1	-
Debt Change	(37.5)	(37.5)

Liquidity

Revolver	500.0
Less: Drawn	-
Less:LC's	0.0
Revolver Available	500
Cash	184.9
Total Liquidity	684.9

Sources - Feb 2022 Spin off from BD / Uses

Sources - Feb 2022 Spin off from BD		Uses	
RCF	-	RCF	-
1L TL	1,150.0	Cash Distribution to BD	1,440.0
Other Secured Debt	500.0	Cash To BS	160.0
		Fees, Expenses, OID	50.0
Total	1,650.0		1,650.0

Recovery Analysis - Going Concern

Stressed EV waterfall to first lien - dual revolver scenarios

Assumptions

Admin/Restructuring (% of EV)	3.00%
Revolver Commitment ($M)	500.0
First Lien Face Value ($M)	1,341.8
LTM EBITDA (for reference)	382.6
2026E EBITDA Guide (for reference)	300.0

Methodology

Analysis shows 1L recovery % across two revolver scenarios: (A) Undrawn revolver, reflecting current state with $184.9M cash and undrawn $500M RCF; (B) Fully drawn revolver, the realistic distress assumption where liquidity needs drive maximum revolver utilization. Real-world stress typically falls between these. Admin costs modeled at 3% of EV.

Scenario A: Undrawn Revolver (Optimistic)

	4.0x Multiple				5.0x Multiple				6.0x Multiple		
Stress EBITDA	EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %
350.0	1,400.0	1,358.0	**100.00%**	350.0	1,750.0	1,697.5	**100.00%**	350.0	2,100.0	2,037.0	**100.00%**
300.0	1,200.0	1,164.0	**86.75%**	300.0	1,500.0	1,455.0	**100.00%**	300.0	1,800.0	1,746.0	**100.00%**
275.0	1,100.0	1,067.0	**79.52%**	275.0	1,375.0	1,333.8	**99.40%**	275.0	1,650.0	1,600.5	**100.00%**
250.0	1,000.0	970.0	**72.29%**	250.0	1,250.0	1,212.5	**90.36%**	250.0	1,500.0	1,455.0	**100.00%**
225.0	900.0	873.0	**65.06%**	225.0	1,125.0	1,091.3	**81.33%**	225.0	1,350.0	1,309.5	**97.59%**
200.0	800.0	776.0	**57.83%**	200.0	1,000.0	970.0	**72.29%**	200.0	1,200.0	1,164.0	**86.75%**

Scenario B: Fully Drawn Revolver (Realistic Distress)

	4.0x Multiple				5.0x Multiple				6.0x Multiple		
Stress EBITDA	EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %	Stress EBITDA	EV	Avail to 1L	Recovery %
350.0	1,400.0	858.0	**63.94%**	350.0	1,750.0	1,197.5	**89.25%**	350.0	2,100.0	1,537.0	**100.00%**
300.0	1,200.0	664.0	**49.49%**	300.0	1,500.0	955.0	**71.17%**	300.0	1,800.0	1,246.0	**92.86%**
275.0	1,100.0	567.0	**42.26%**	275.0	1,375.0	833.8	**62.14%**	275.0	1,650.0	1,100.5	**82.02%**
250.0	1,000.0	470.0	**35.03%**	250.0	1,250.0	712.5	**53.10%**	250.0	1,500.0	955.0	**71.17%**
225.0	900.0	373.0	**27.80%**	225.0	1,125.0	591.3	**44.06%**	225.0	1,350.0	809.5	**60.33%**
200.0	800.0	276.0	**20.57%**	200.0	1,000.0	470.0	**35.03%**	200.0	1,200.0	664.0	**49.49%**

Recovery Summary - Both Scenarios

Metric	Scenario A (Undrawn)	Scenario B (Drawn)
Total scenarios	**18**	**18**
Recovery = 100%	**7**	**1**
Recovery ≥ 90%	**10**	**2**
Recovery ≥ 80%	**13**	**4**
Recovery < 50%	**0**	**8**
Average Recovery	**88.29%**	**58.32%**
Median Recovery	**93.98%**	**56.71%**
Minimum Recovery	**57.83%**	**20.57%**

Blended 1L Market Price (weighted by face) 81.70%

Key Takeaways

- Undrawn Scenario: 1L recovery reaches 100% only at high EBITDA and high multiple combinations consistent with operational stabilization
- Drawn Scenario: 1L is impaired across most moderate to severe stress outcomes once the revolver priority claim is applied
- Distressed companies typically draw revolvers fully to preserve liquidity, making Scenario B the more realistic restructuring assumption
- At the central FY26E EBITDA scenario of $300M at 5.0x multiple, drawn scenario recovery is approximately 71%, consistent with current secured note prices around 79-80
- Current blended 1L market price of approximately 82% prices the secured stack close to the realistic distress recovery case, leaving limited margin of safety to the drawn scenario
- The gap between Scenario A and B is the "revolver priority penalty," approximately 36% of 1L face value at each EV level
- Recovery analysis at current pricing supports PASS rather than BUY, with upgrade requiring either further widening for a clean recovery-based entry or evidence of operational stabilization

Fulcrum Analysis

Where does value break? Recovery matrix across EBITDA × Multiple, dual revolver scenarios

Key Inputs

Admin/Rx % of EV	3.00%
Revolver Commitment ($M)	500.0
First Lien Face ($M)	1,341.8
Current Equity Market Cap ($M)	216.0

Scenario A: Undrawn Revolver - 1L Recovery Matrix

EBITDA ↓ / Multiple →	3.5x	4.0x	4.5x	5.0x	5.5x	6.0x
150.0	37.95%	43.37%	48.80%	54.22%	59.64%	65.06%
175.0	44.28%	50.60%	56.93%	63.25%	69.58%	75.91%
200.0	50.60%	57.83%	65.06%	72.29%	79.52%	86.75%
225.0	56.93%	65.06%	73.19%	81.33%	89.46%	97.59%
250.0	63.25%	72.29%	81.33%	90.36%	99.40%	100.00%
275.0	69.58%	79.52%	89.46%	99.40%	100.00%	100.00%
300.0	75.91%	86.75%	97.59%	100.00%	100.00%	100.00%
325.0	82.23%	93.98%	100.00%	100.00%	100.00%	100.00%
350.0	88.56%	100.00%	100.00%	100.00%	100.00%	100.00%
375.0	94.88%	100.00%	100.00%	100.00%	100.00%	100.00%
400.0	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
425.0	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
450.0	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Scenario B: Fully Drawn Revolver - 1L Recovery Matrix

EBITDA ↓ / Multiple →	3.5x	4.0x	4.5x	5.0x	5.5x	6.0x
150.0	0.69%	6.11%	11.53%	16.95%	22.38%	27.80%
175.0	7.01%	13.34%	19.67%	25.99%	32.32%	38.64%
200.0	13.34%	20.57%	27.80%	35.03%	42.26%	49.49%
225.0	19.67%	27.80%	35.93%	44.06%	52.20%	60.33%
250.0	25.99%	35.03%	44.06%	53.10%	62.14%	71.17%
275.0	32.32%	42.26%	52.20%	62.14%	72.08%	82.02%
300.0	38.64%	49.49%	60.33%	71.17%	82.02%	92.86%
325.0	44.97%	56.71%	68.46%	80.21%	91.96%	100.00%
350.0	51.29%	63.94%	76.59%	89.25%	100.00%	100.00%
375.0	57.62%	71.17%	84.73%	98.28%	100.00%	100.00%
400.0	63.94%	78.40%	92.86%	100.00%	100.00%	100.00%
425.0	70.27%	85.63%	100.00%	100.00%	100.00%	100.00%
450.0	76.59%	92.86%	100.00%	100.00%	100.00%	100.00%

Fulcrum Summary - Both Scenarios

Metric	Scenario A (Undrawn)	Scenario B (Drawn)
Total scenarios in grid	78	78
Scenarios with 100% 1L recovery	38	16
Scenarios with 80-100% recovery (partial impairment)	15	11
Scenarios with <80% recovery (severe impairment)	25	51
% where equity is fulcrum (1L fully recovered)	48.72%	20.51%
Average recovery across grid	86.02%	61.23%

Interpretation

- Undrawn: Equity is fulcrum in the majority of scenarios, with 1L money-good in the base state at higher multiples
- Drawn: Revolver priority claim materially reduces 1L recovery, and equity is fulcrum in far fewer scenarios
- Impairment Thresholds: In the drawn scenario, 1L takes meaningful impairment once EBITDA falls below approximately $350M at a 5.0x multiple
- Current LTM EBITDA of $382.6M and central FY26E case of $300M sit at or past the impairment boundary in the drawn revolver scenario
- Recovery framework is now active rather than prospective; current note prices reflect the realistic distress case with limited margin of safety
- The principal-safe thesis only holds under the undrawn scenario, which is not the forward-looking base case once Owen Mumford close draws the revolver
- Recovery framework supports PASS at current levels; constructive entry requires further widening or operational stabilization

Covenant Headroom Analysis

Maintenance covenant test: Max 4.75x Net First Lien Leverage (Revolver)

Covenant Terms	
Max Net 1L Leverage Ratio	4.75x
Test Trigger	When Revolver Drawn
Current Revolver Drawn	-
Commentary	*Covenant is springing/maintenance on revolver only. Cash position supports no draw near-term.*
Pro Forma Assumptions	
Owen Mumford RCF Draw ($M)	*134.0*
FCF Allocation to Debt Paydown	*75%*
FCF Allocation to Cash Build	*25%*
Bear Case: Cash Interest ($M)	*105.0*
Bear Case: Capex ($M)	*10.0*
Bear Case: Taxes ($M)	*40.0*
Bear Case: NWC Change ($M)	*25.0*
Status Threshold: OK above	*25%*
Status Threshold: Watch above	*10%*

Base Case Projection (2026E from Mgmt. Guide, Flat 2027-2029)

	LTM	2026E	2027E	2028E	2029E
Revenue ($M)	1,042.5	1,025.0	1,025.0	1,025.0	1,025.0
EBITDA ($M)	382.6	300.0	300.0	300.0	300.0
FCF ($M)	204.7	134.0	134.0	134.0	134.0
First Lien Debt ($M)	1,341.8	1,375.3	1,274.9	1,174.4	1,073.9
Owen Mumford RCF Draw ($M)	-	134.0	134.0	134.0	134.0
Cash Balance ($M)	184.9	218.4	251.9	285.4	318.9
Capitalized Leases ($M)	31.3	31.3	31.3	31.3	31.3
Net First Lien Debt	**1,188.2**	**1,188.2**	**1,054.3**	**920.3**	**786.4**
Net 1L Leverage	**3.1x**	**4.0x**	**3.5x**	**3.1x**	**2.6x**
Covenant Threshold	4.75x	4.75x	4.75x	4.75x	4.75x
Covenant Headroom	**34.62%**	**16.61%**	**26.02%**	**35.42%**	**44.82%**
Status	**OK**	**Watch**	**OK**	**OK**	**OK**

Bear Case (-10% Revenue FY26E with -3% annual decline, 25% EBITDA Margin)

	LTM	2026E	2027E	2028E	2029E
Revenue ($M) (-10% from mgmt. guide, -3% p.a.)	1,042.5	938.3	910.1	882.8	856.3
EBITDA (25% margin)	382.6	234.6	227.5	220.7	214.1
FCF	204.7	54.6	47.5	40.7	34.1
First Lien Debt ($M)	1,341.8	1,434.9	1,399.2	1,368.7	1,343.1
Owen Mumford RCF Draw ($M)	-	134.0	134.0	134.0	134.0
Cash ($M)	184.9	198.5	210.4	220.6	229.1
Capitalized Leases	31.3	31.3	31.3	31.3	31.3
Net First Lien Debt	**1,188.2**	**1,267.6**	**1,220.1**	**1,179.4**	**1,145.3**
Net 1L Leverage	**3.1x**	**5.4x**	**5.4x**	**5.3x**	**5.4x**
Covenant Headroom	**34.62%**	**-13.77%**	**-12.90%**	**-12.50%**	**-12.63%**
Status	**OK**	**Breach Risk**	**Breach Risk**	**Breach Risk**	**Breach Risk**

Key Takeaways

- Base case: 2026E covenant headroom compresses to 17% (Watch) with the Owen Mumford RCF draw incorporated; trajectory recovers to 45% headroom by 2029E as TLB amortizes
- Bear case: covenant breaches the 4.75x threshold in 2026E with the $134M RCF draw; remains pressured through the projection period at 5.4x leverage
- Owen Mumford close activates the springing 4.75x net 1L maintenance test on $134M revolver draw at FY26 Q3
- Cash position of $184.9M LTM provides a near-term liquidity buffer, but the $134M RCF draw and subsequent FCF compression in the bear case reduce flexibility
- Downside risk to the covenant is material; moderate stress scenarios breach the maintenance test within the FY26 reporting cycle